

7.4 ONSET OF CURRENT ECONOMIC REFORMS

7.4.1 The Crisis

Fiscal profligacy of 1980s resulted in high fiscal deficit, public debt and external debt, thus creating internal and external imbalances. By 1990-91, gross combined (Union and State) fiscal deficit had crossed 10 per cent of GDP, combined public debt to 70 per cent of GDP, and external national debt (\$83 billion) to 30 per cent of GDP— partly because of gradual withdrawal of foreign concessional aid. Debt service burden of the Union Government was more than 35 per cent of its revenue receipts. But more than that, forex reserves were so low as to account for only 7.0 per cent of total debt. Short-term debt to forex reserves was 145 per cent, making its debt-service ratio 35 per cent of exports. Current account deficit in the Balance of Payments crossed 3.0 per cent of GDP, largely on account of a gradual liberalisation of imports without the commensurate improvement in exports. Inflation also accelerated to double digit level despite three consecutive good monsoons and harvest.

Changes in the international context associated with the gulf war, triggered by Iraq attacking Kuwait in mid-1990, put India into a serious crisis as its import bill swelled and export receipts plummeted, and, thus, current account deficit on balance of payment accentuated. In this scenario, NRIs started withdrawing their deposits in foreign currency from banks. Short-term foreign capital also out-flowed. As a consequence, forex reserves depleted down to \$1.2 billion in January 1991 and further depleted to \$0.6 billion by June 1991— just equivalent to about three-weeks' imports. There was thus a full-blown BoP crisis at hand.

India sought help from the International Monetary Fund (IMF) to tide over BoP crisis by seeking an emergency loan of \$2.2 billion. IMF gave a standby loan of \$0.72 billion in January 1991 to be utilised in three months' time. For the first time, the country came to the brink of default in servicing the debt. India had to airlift some part of its gold stock (primarily the gold confiscated from smugglers) out of its forex reserves to Bank of England and Union Bank of Switzerland as collateral to secure loan on terms that were not too steep. This was the time when India had a caretaker government headed by PM Chandrashekhar (March-June 1991) at the Centre. With its back against the wall, the country had no option but to set into motion comprehensive economic reforms. It is often said that the crisis of 1991 was predictable, given the buildup of macroeconomic imbalances in 1980s, but the Gulf war precipitated it.

The loan contracted was too little. It was natural for the new Government which came into power with PV Narasimha Rao as Prime Minister and Manmohan Singh as Finance Minister to approach for a loan of \$2.5 billion dollars from IMF and another of \$0.5 billion from the World Bank. IMF and the World Bank were willing to rescue the Indian economy but sought compliance with conditionalities, as is their wont, in terms of implementing reforms package involving macroeconomic stabilisation policies and microeconomic (sectoral) structural corrections. IMF gave loan of SDR1.656 billion (equivalent to \$2.2 billion) under non-concessional stand-by arrangement with a window of 15 months at 7.1 per cent rate of interest. World Bank which normally gives project specific loans, did come around to giving a loan of 0.25 billion for structural adjustment. Though these loans were not concessional, yet they were cheaper

than commercial ones— which were not available easily as the country's credit rating had dropped considerably.

Manmohan Singh and P.V. Narasimha Rao initiated the reforms in June 1991 with the presentation of the Union Budget. They found the conditionalities attached to the loans taken from international financial institutions as prudent pieces of advice but set up committees to suggest details for the path to reform the economic management of the country. These were efficiency seeking reforms. If there had to be a check on merger or acquisition of private firms, it was not to check monopoly or restrictive trade practices but to promote economic efficiency. If a public sector unit had to be sold (privatisation) or partly sold (divested), it was for improving its economic performance. The sole purpose was to improve efficiency in the economic system.

7.4.2 Assessment and the Response

Following two paragraphs of the budget speech of Manmohan Singh on 24 July 1991, sum up the direction that was to be taken over the subsequent three decades:

“In the macro-management of the economy, over the medium-term, it should be our objective to progressively reduce the fiscal deficit of the Central Government, to move towards a significant reduction of the revenue deficit, and to reduce the current account deficit in the balance of payments. It is only such prudent management that would enable us to curb the exponential growth in internal and external debt and limit the burden on debt servicing, for the Government and the country, to manageable levels. Indeed, we must make a conscious effort to reduce the internal debt of the Government and the external debt of the nation, so that we rely more and more on our own resources to finance the process of development.”

“Macro-economic stabilisation and fiscal adjustment alone cannot suffice. They must be supported by essential reforms in economic policy and economic management, as an integral part of the adjustment process, reforms which would help to eliminate waste and inefficiency and impart a new element of dynamism to growth processes in our economy. The thrust of the reform process would be to increase the efficiency and international competitiveness of industrial production, to utilise for this purpose foreign investment and foreign technology to a much greater degree than we have done in the past, to increase the productivity of investment, to ensure that India's financial sector is rapidly modernised, and to improve the performance of the public sector, so that the key sectors of our economy are enabled to attain an adequate technological and competitive edge in a fast-changing global economy. I am confident that, after a successful implementation of stabilisation measures and the essential structural and policy reforms, our economy would return to a path of a high sustained growth with reasonable price stability and greater social equity.”

7.4.3 Some Initial Steps Taken by the Government

Immediate response of the Central Government, within 10 days in power, was in terms of devaluation of rupee. The custodian of the value of rupee RBI devalued rupee, in quick succession on 1 July and 3 July 1991, by 9 per cent and 11 per cent against currencies of major trading partners, viz., US Dollar, British Pound, German Deutsch, and Japanese Yen (Chinese Yuan was not that important at that

stage). This was expected to make exports competitive. Commerce Ministry withdrew export subsidy and thus saved some public expenditure, as well as moved towards removing distortion in market prices. After an experiment with dual exchange rate for a year, external value of rupee was allowed to be determined by the market forces. In other words, rupee moved from fixed exchange regime to floating exchange rate. This was most important macroeconomic stabilisation measure on external front.

In the financial sector, RBI had freed banks to charge interest rates beyond floor rate, depending upon the risk perception of the borrower. Budget speech of 1991 suggested formation of a high-level committee (Narasimham Committee) to look into the structure, organisation, functions and procedures of financial institutions. It was felt that administrative intervention on interest rate had outlived its utility. It was pointed out that powers of Capital Controller of India (Government) would be transferred to SEBI which would be empowered through appropriate legislation. Likewise, Foreign Exchange Regulation Act (FERA, 1973) was set to be liberalised for non-resident Indians to make investment in India.

Recognising that entry barriers were promoted by proliferation of licensing regime and that it actually led to increase in the degree of market concentration, Finance Minister announced the new Industrial Policy as a part of his Budget Speech on 24 July 1991 (and second part on small scale industries on 6 August, 1991)). These committed the Government to take a series of initiatives in the five areas of (a) Industrial Licensing, (b) Foreign Investment, (c) Foreign Technology Agreements, (d) Public Sector Policy, and (e) MRTP Act. Highlighting that many small and medium sized entrepreneurs were hampered by the restrictive licensing regime, it was abolished, except for a set of industries in the categories of security and strategic importance, hazardous chemicals, overriding environmental reasons and items of elitist consumption. They were further liberalised. Items reserved for small scale industries were left untouched in 1991 but gradually done away with. List of industries reserved for public sector was pruned from 17 (in 1956) to 8.

While freeing Indian industry from official control, it said, opportunities for foreign investment should be exploited as it would bring in attendant advantages of technology transfer, management techniques, marketing strategies and export potential. Direct approval would be given up to 51 per cent. Likewise, Indian industries would be allowed to negotiate the terms of technology with foreign counterparts and this may induce Indian industry to undertake more research and development activities.

Public sector units which have done very valuable work in early years of the Indian economy, post-independence were now, in many cases, a burden on the public resources. In particular, the sick mills which were taken over by the Government continued to be sick. They were to be referred to the Board for Industrial and Financial Reconstruction. While there was no reason for public sector to supply consumer goods and services, it had expanded into these sectors. Emphasis was for the public sector to operate in reserved or strategic areas or where reasonable profitability was being maintained. Those public undertakings that were performing well were to be given management autonomy. Competition with private sector was to be encouraged. And in some cases, disinvestment of equity share was to be carried out.